

There is a basic checklist that Choukkar follows when looking at how good of an investment opportunity a startup is:

- What is the quality and skillset of the founding team? Is there a balance between tech and business?
- What is the risk return profile at the current stage? Does it function in a niche market or is it likely to be overtaken?
- What is the quality of the deal's terms like price and returns?
- How does it fit with the rest of their investment portfolio?
- How capable is the startup in diversifying the portfolio? (Investors usually don't want to concentrate in a particular type of company, giving them particular type of risks.)
- How does it fit with investors' mandates?

The hurdles

The general distaste of investors for electronics startups has multiple reasons behind it. The first being that companies in the electronics or hardware space tend to have a substantially longer product development cycle than other technology companies, which means that the technical and execution risks are a lot higher, with the tolerance for faults being incredibly low.

Another reason for investors to shy away from funding electronics startups is that such companies require a lot of money upfront during the initial days of introducing a product in the market as they are much more capital-reliant.

On top of that there is no guarantee the product will be a hit in the market and yield the investor good returns. If, inadvertently, the product fails to perform, the investors may have to pay heavy price for it.

This brings us to the next point: Hardware companies are harder to exit.

Having said that there are still some ways to attract the investors such that your startup looks like the most lucrative offer there is.

Attracting investors

As per Ganapaty Venugopal, Co-founder and CEO Axilor Ventures, most of the successful startups stand out in three key areas: The product, the market, and the founding team.

Choukkar and Venugopal give us an insider perspective of what elements would help an electronics startup to attract valuable investments for valuable investors.

1. Relevance of your product. Venugopal says, "On the product side, the first question that we ask is how

core is your product to your customer's business?"

The relevance of this question has been greatly amplified by the Covid-19 pandemic, which has made companies realise that, at the end, only that product which can reduce customers' hardship is going to survive. Unless you are solving a real pain point of your customers, it is extremely difficult for them to develop any interest in your product.

2. Focus on economics. Having a clear idea of the revenue and costs per unit of product is one of the fundamental basis of building a valuable startup. It is important as an electronics startup to pay extraordinarily strong attention to your margins. Gross margins and contribution margins, essentially revenue margins after deducting all the incurring costs, are a good number to present to investors to immediately spark their interest, especially if it's a high enough number.

This, says Choukkar, is a lot more important than providing big financial models or projections that most people tend to discount because it is nowhere near what the business might end up looking like in the upcoming years. Unit economics on the other hand are more verifiable.

3. Scalability. Knowing the market you would function in is just as important as knowing the nitty gritty of your startup. Being aware of the market size and strategy for commercialisation are all part of the same game. A product that is based in a large market instead of a niche or dying one is crucial to convince investors and VCs that your product will work.

"To assess the market size, we ask: Who would go out of business?" explains Venugopal.

Irrespective of whether you're a deep-tech startup or any electronics startup, if the answer to the question is that a mammoth organisation could go out of business with the introduction of your product in the market, that validates the market size.

Second, having a clear vision for your technology offering or product is another noteworthy aspect. Are you selling components? Or is this the final electronics product itself? Is there some suggested offering that is built around it?

"Investors typically like the latter because it's a lot harder for competition to essentially take what you're doing and reverse engineer it," informs Choukkar. Essentially, having a vision which involves multiple product offerings or incrementally improved product offerings is a key aspect to be focused on.

Choukkar gives his insight, "If you are a company with a single product, typically it is not going to be viewed as an attractive enough investment proposition because the risk is concentrated and not distributed, and you stand a substantial chance of being overtaken with developments which most people cannot realistically foresee."

4. Higher barriers to entry. When we say your startup and product should have a high barrier to entry, we do not just mean you show a big list of IP. "A lot of entrepreneurs who pitch to us are people who essentially come with a provisional patent filed here and there. This is not as important," says Choukkar.

You see, there are a lot of frivolous patents in the system. This makes it an unreliable judge of your IP's value. Instead, opt to talk about WHAT those patents are about and HOW that serves as a shield of protection for your product.

Filing patents may not even be such a big deal if you are just able to communicate your trade secret. Even if you are not filing patents, you should be able to articulate what your trade secret is. Explain the kind of networks you are building, how you are driving usage of your product and, most importantly, why no one can do it better than you.

5. A strong team. While the product and market are conducive elements for any startup's success, the founding